Ref. Ares(2021)2640305 - 20/04/2021

DECISION authorising the use of lump sums for the European Research Council Proof of Concept actions under the Horizon Europe Programme – the Framework Programme for Research and Innovation

Having regard to the Treaty on the Functioning of the European Union,

Having regard to Regulation of the European Parliament and of the Council establishing Horizon Europe - The Framework Programme for Research and Innovation, and in particular Articles 4 and 21 thereof,

Having regard to Regulation (EU, Euratom) No 2018/1046 of the European Parliament and of the Council of 18 July 2018 on the financial rules applicable to the general budget of the Union[1], and in particular Articles 125 and 181 thereof,

Whereas:

(1) Simplification as a central aim of the Horizon Europe Framework Programme needs to be reflected in its design, rules, financial management and implementation,

(2) European Research Council Proof of Concept actions under the Horizon Europe Framework Programme are designed to support Principal Investigators who already received a grant from the European Research Council in exploring the commercial or societal potential of their work,

(3) Simpler funding rules reduce the administrative costs for participation and contribute to the prevention and reduction of financial errors. In this respect, the use of lump sums contribution is appropriate to simplify the calculation of grant amounts, to significantly decrease the workload of both the beneficiaries and the Commission as well as to accelerate payment procedures,

(4) The use of lump-sum contribution should therefore be authorised for European Research Council Proof of Concept actions under the Horizon Europe Programme.

THE FOLLOWING HAS BEEN DECIDED:

Sole Article

The use of the Union contribution in the form of lump sum contributions is authorised for the European Research Council Proof of Concept actions under the Horizon Europe Programme – the Framework Programme for Research and Innovation, for the reasons and under the conditions set out in the Annex.

This Decision is subject to the final adoption by the legislative authority and entry into force without significant modifications of the Regulation of the European Parliament and of the Council establishing Horizon Europe – the Framework Programme for Research and Innovation.

[1] Regulation (EU, Euratom) 2018/1046 of the European Parliament and of the Council of 18 July 2018 on the financial rules applicable to the general budget of the Union, amending Regulations (EU) No 1296/2013, (EU) No 1301/2013, (EU) No 1303/2013, (EU) No 1304/2013, (EU) No 1309/2013, (EU) No 1316/2013, (EU) No 223/2014, (EU) No 283/2014, and Decision No 541/2014/EU and repealing Regulation (EU, Euratom) No 966/2012 (OJ L 193, 30.7.2018, p.1).

Done at Brussels,

Jean-Eric PAQUET
Director-General of DG R&I

Annex

1. Form of Union contribution and categories of costs covered

The Union contribution for the European Research Council (ERC) Proof of Concept (PoC) actions under the Horizon Europe Programme – the Framework Programme for Research and Innovation (2021-2027), shall exclusively take the form of lump sum contribution to cover the beneficiaries' following direct and indirect eligible costs for such actions: personnel costs, subcontracting, purchase costs, other cost categories and indirect costs.
Indirect costs are included as a flat-rate of 25% to the direct cost categories that qualify for indirect costs under the Horizon Europe rules.

The amount of the lump sum contribution for each grant is fixed at EUR 150 000 following the methodology set out in point 3.

2. Justification

Simplification as a central aim of the Horizon Europe Framework Programme needs to be reflected in its design, rules, financial management and implementation.

Lump sum contributions, when compared to reimbursement of actual costs, provides considerable simplification potential. It removes all obligations on cost reporting and financial audits, thus removing a major part of the administrative burden on beneficiaries and enabling efficiency gains in the implementation of an action. At the same time, lump sum funding strongly increases the focus on the quality of the scientific-technical performance.

Under the Horizon 2020 Programme – the Framework Programme for Research and Innovation (2014-2020), the ERC PoC model grant agreements allowed for declaration of the costs based on a lump sum contribution for actions funded under the 2019 and 2020 ERC Work Programmes.

The use of a lump sum contribution is still considered appropriate to achieve the policy objective of ensuring proper simplification in the Horizon 2020 ERC PoC actions and to guarantee the principle of equal treatment of beneficiaries.

This system shall be maintained under the Horizon Europe Programme – the Framework Programme for Research and Innovation (2021-2027) for ERC PoC actions, in compliance and under the terms of the relevant ERC Work programme.

2.1. Nature of the supported actions

ERC Proof of Concept actions concern activities aimed at verifying the innovation potential of ideas arising from ERC funded actions (e.g. by validating results, conducting research related to any exploitation aspects, clarifying IPR or knowledge transfer strategies, making market analysis, etc.).

Due to the homogenous nature of the ERC PoC actions, using a lump-sum contribution scheme would imply significant administrative simplification. The costs of the Proof of Concept actions can be well-estimated on the basis of the ERC historical data.

2.2. Risks of irregularities and fraud and costs of control

The granting authority will verify at the time of preparation of the grant, during the implementation of the action or afterwards (through technical checks, reviews or audits), compliance with the conditions for using lumps sums.

As a direct consequence of removing all obligations on cost reporting and financial ex-post audits, financial error rates will be minimised.

There will be no reporting of actual costs, and there will normally be no financial checks, reviews or audits. Beneficiaries will have no obligation vis-à-vis the granting authority to document costs incurred for the action but they remain subject to the accounting rules under the applicable national laws.

Checks, reviews, and audits will focus on the technical implementation of the action, in particular on the fulfilment of the conditions for releasing lump sums, or on other aspects of the grant agreement such as ethics and research integrity, dissemination and exploitation of results, management of intellectual property and gender equality.

If such controls reveal that the conditions for payment of the lump sum have not been met (e.g. the action has not been completed) and that an undue payment was made to a beneficiary, the granting authority shall be entitled to recover up to the amount of the grant.

3. Method to determine [and update] the amount of the Union contribution in the form of lump sums contributions

According to Article 181(4) of Regulation (EC, Euratom) 2018/1046, the method chosen to determine the lump sum may be based on "statistical data or similar objective means".

The ERC PoC action has been implemented since 2011 under the FP7 Programme and then the Horizon 2020 Programme, hence there is a consolidated experience on the main objectives and structure of the related actions.

The actions to be funded aim at turning research outputs into a commercially or socially valuable proposition. A typical ERC PoC action includes one single activity which consists in verifying the innovation potential of ideas arising from ERC funded actions, e.g. by validating results, conducting research related to any exploitation aspects, clarifying IPR or knowledge transfer strategies, identifying customers and societal benefits.

The actions have a duration of 18 months.

In order to establish the amount of the pre-fixed lump sum, statistical data of Horizon 2020 funded PoC actions were analysed.

The actions belonged to the following calls for proposals:

1. Horizon 2020: ERC Proof of Concept 2017;
2. Horizon 2020: ERC Proof of Concept 2018;

At the date of calculation, October 2020, the database consisted of 320 PoC actions for these two years, of which 205 were already closed.

These actions had comparable objectives and were also comparable in terms of their eligible costs, EU funding and total costs.

The analysis focused on the budget and resources allocated to the actions.

3.1. Statistical analysis

Graph 1 summarises the budget request of funded H2020 PoC actions for the years 2017 and 2018 (320 individual actions) at the proposal stage:

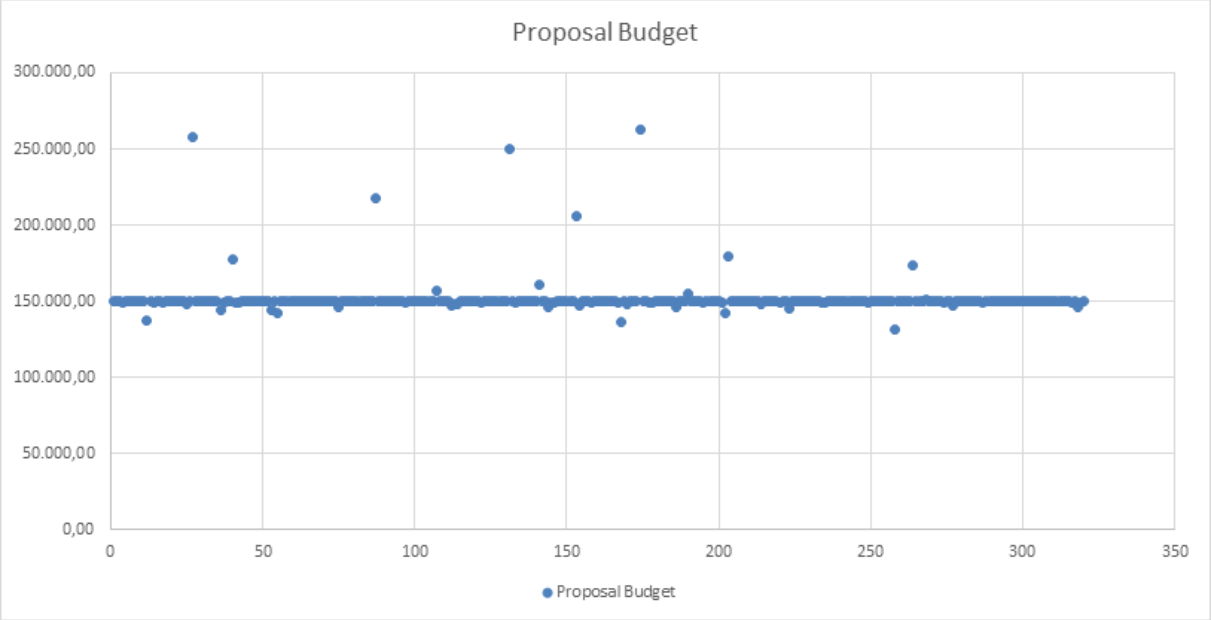


Table 2: Average and median estimated costs of the 2017 and 2018 H2020 individual proposals (320)

Average:	EUR 151.261,30
Median:	EUR 150.000,00

The analysis showed that some beneficiaries indicated a higher planned budget for their actions despite of the maximum available EU contribution for a PoC action (EUR 150 000). This resulted in a higher amount for the average size of a planned action, but a typical request for a PoC action is close to the current maximum of EUR 150 000.

Table 3: Evolution of total actions costs in EUR of the 205 completed and paid PoC actions

Results for Final projects processed	
Completed projects	205
Average maximum EU Contribution	149.382,00
Average accepted eligible costs	144.828,41
Median maximum EU Contribution	150.000,00
Median accepted eligible costs	149.875,00

The table shows that the typical accepted cost for a Horizon 2020 PoC actions is eventually EUR 150 000.

Analysing the data, the following aspects also need to be taken into account:

- The financial reporting system allows the beneficiaries to report all their eligible costs, even higher costs, if that is the case, than the maximum EU contribution. Though, beneficiaries do not report them systematically, as they know that they will be reimbursed up to the maximum EU contribution, typically EUR 150 000.

The data of all the 178 actions financed from the FP7 programme and 441 actions from the Horizon 2020 ERC PoC 2014, 2015 and 2016 were also analysed. They showed similar characteristics as of the ERC PoC 2017 and 2018 actions, i.e. the grant agreements had a typical (median) maximum EU contribution of EUR 149 759 and the typical size of eligible costs reached EUR 148 762 for FP7 actions. For ERC PoC Horizon actions between 2014 and 2016, the median maximum EU contribution per grant agreement was EUR 149 967.00 and the typical size of eligible costs reached EUR 146 758.80.

3.2. Summary

Taking into consideration that:

- the typical amount of a PoC action is estimated at EUR 150 000 by the beneficiaries and

- the typical amount of costs accepted at the stage of final reports is EUR 150 000 and

- the magnitude of refused claimed costs is not significant,

In that respect, a lump sum contribution of EUR 150 000 by the granting authority for the implementation of the ERC PoC actions was used for the ERC Work programmes 2019 and 2020 under the Horizon 2020 Programme.

On the basis of these sound statistical data, a lump sum contribution of the same amount of EUR 150 000, shall continue to be used for the implementation of the ERC PoC actions under the Horizon Europe Programme, in compliance and under the terms of the relevant ERC Work programme.

4. Sound financial management and co-financing principles and absence of double financing

The methodology described in Section 3 complies with the principles of sound financial management, co-financing and absence of double financing as required by the Financial Regulation.

Sound financial management is ensured because the lump sum is based on statistical data.

Notwithstanding the principle of co-financing, the funding rate of 100% as set out in Article 34 of the Horizon Europe Rules for Participation is reflected in the calculation of the lump sum contribution. However the beneficiary will normally be expected to incur other costs of the action which will not be financed by the Union contribution. Double-financing is avoided by the fact that the beneficiaries are requested to describe in a narrative way the resources planned to use for the implementation of the action. In addition, the lump sum will cover all direct and indirect eligible costs of the action.

Electronically signed on 20/04/2021 10:00 (UTC+02) in accordance with article 11 of Commission Decision C(2020) 4482